

HDFC Bank Annual Report FY2026

Management Discussion and Analysis

This report outlines the financial performance, risk management, and strategic outlook for HDFC Bank for the financial year 2025-2026.

1. Credit Risk Management

Credit risk is the primary risk for the bank. In FY2026, our risk framework remained resilient despite global headwinds.

The Gross Non-Performing Assets (GNPA) ratio for HDFC Bank in FY2026 stood at 1.22%, representing a slight improvement from the previous year. The Net NPA ratio was maintained at a healthy 0.33%.

Our loan loss provisioning was proactively increased by 15% to buffer against unexpected stress in the unsecured lending portfolio. The bank's strict underwriting standards have ensured that asset quality remains industry-leading.

2. Liquidity and Market Risk

Liquidity risk management ensures we have sufficient funds to meet our obligations. The Liquidity Coverage Ratio (LCR) for FY2026 averaged 118%, which is comfortably above the regulatory requirement of 100%.

Market Risk:

The bank's treasury operations were affected by interest rate volatility. However, the Net Interest Margin (NIM) remained stable at 3.4% due to effective repricing of the loan book.

Capital Adequacy Ratio (CAR) stands at 16.5%, with Tier 1 Capital forming the bulk of it, providing a strong cushion for future growth.